CBOE HOLDINGS, INC.
Fourth Quarter 2013 Earnings Call - Prepared Remarks
Friday, February 7, 2014

Debbie Koopman

Good morning and thank you for joining us for our fourth quarter conference call. On the call today, Ed Tilly, our CEO, will discuss the quarter and our strategic initiatives for 2014. Then, Alan Dean, our Executive Vice President and CFO, will detail our fourth quarter 2013 financial results and provide guidance on certain financial metrics for 2014. Following their comments, we will open the call to Q&A. Also joining us for Q&A will be our President and COO, Ed Provost.

In addition, I'd like to point out that this presentation will include the use of several slides. We will be showing the slides and providing commentary on each. A downloadable copy of the slide presentation is available on the investor relations portion of our website.

As a preliminary note, you should be aware that this presentation contains forward-looking statements, which represent our current judgment on what the future may hold, and while we believe these judgments are reasonable, these forward-looking statements are not guarantees of future performance and involve certain assumptions, risks and uncertainties. Actual outcomes and results may differ materially from what is expressed or implied in any forward-looking statements. Please refer to our filings with the SEC for a full discussion of the factors that may affect any forward-looking statements. We undertake no obligation to publicly update any forward-looking statements, whether as a result of new information, future events or otherwise, after this conference call.

Now, I'd like to turn the call over to Ed Tilly.

Ed Tilly, CEO

Good morning and thank you for joining us today.

2013 was a banner year for CBOE Holdings, with new records set across key financial metrics, including revenue, earnings and operating margin. These solid financial results enabled us to return nearly $110 million in capital to stockholders through dividends and share repurchases over the year.

CBOE Holdings total volume -- options and futures -- was nearly 1.2 billion contracts, making 2013 our second busiest year. Total ADV increased 4 percent from 2012. Options volume rose 3 percent, outperforming the industry-wide increase of 2 percent. Index options trading increased by 22 percent, led by record trading in our SPX complex and in VIX options.
Solid fourth quarter results capped 2013's record financial performance with year-over-year revenue growth of 9 percent and adjusted diluted EPS growth of 16 percent. Fourth quarter ADV rose to 4.9 million contracts, a year-over-year increase of 18 percent. Alan will discuss our quarterly results in detail, so I'll move ahead with a look at our key initiatives, noting progress made to-date and opportunities on the horizon for 2014.

We remain focused on our core mission to create value for stockholders by generating industry-leading profit margins and growth rates through a diversified portfolio of risk management products and services. Ongoing strategic initiatives fall into three main categories -- leveraging and developing proprietary products, optimizing revenue in commoditized products, and broadening our customer base -- while maintaining the highest standards in market regulation.

I am pleased to note at the onset that CBOE and our partner S&P Dow Jones Indices achieved an important legal victory in the final quarter of 2013, when New York's federal court dismissed a competitor's challenge to S&P's rights to license its indexes, validating previous rulings by the Illinois Appellate Court, the Illinois Supreme Court, and the U.S. Supreme Court. Significantly, the deadline to appeal the New York federal court ruling passed in January, bringing this baseless challenge to an end. We are thrilled to have reached finality and legal certainty in this matter. It is a victory for innovation at CBOE and for our ability to continue to grow the index options marketplace for years to come.

Now on to product performance and development. Trading in CBOE's S&P 500 Index options complex rose 18 percent in 2013. Much of the growth was driven by a sharp increase in SPX Weeklys volume, which grew by 98 percent in 2013, following an increase of nearly 70 percent in 2012 and a tripling of volume in 2011. The record pace carried over into January 2014, when SPX Weeklys trading increased 53 percent over January 2013 and 29 percent over the prior month, setting a new monthly volume high.

I'm pleased to note that the Weeklys trading, created by CBOE in 2005, has brought a new base of customers, made up of retail investors and semi-pros, to our SPX marketplace. Obviously, we believe there is significant potential ahead to further develop this new and growing customer base.

Our standard SPX option remains the index option of choice for institutional investors trading large and complex orders. I'm happy to report that trading in our flagship SPX option -excluding Weeklys -- increased by five percent, making 2013 the busiest year in the product's 30 year history. Trading is off to a strong start in 2014, with January total SPX volume up 10 percent over last year and seven percent over the prior month. More important, we continue to identify significant opportunities to further grow SPX trading in 2014 and beyond. User groups where we see considerable untapped potential include:

- SPY options users who lack awareness of the benefits of SPX relative to SPY options,
- OTC users -- despite implementation delays in Dodd-Frank, we are seeing OTC-type trades come to CBOE,
- Institutional investors -- asset managers, pension funds, insurance companies and financial advisors -- some who are only just beginning to trade SPX, and
- Overseas Investors, who can use SPX to hedge global economic risk or to efficiently take a position on the U.S. market.

We believe that educational and marketing initiatives aimed at these customer segments helped to increase SPX trading in 2013, and we are intensifying those efforts going forward.

Turning now to trading VIX options and futures, which continue to grow at record levels. VIX options averaged 567,000 contracts per day in 2013, a new annual record and an increase of 28 percent over 2012. The record setting pace continued into the new year. January's ADV of 792,000 contracts marked a new monthly high for VIX options trading and represented an increase of 16 percent over January 2013 and 61 percent over December '13.

VIX futures averaged nearly 159,000 contracts per day in 2013, an increase of 67 percent over the previous year. January 2014 ADV in VIX futures was 210,000 contracts, a new monthly record and an increase of 52 percent over January '13 and 38 percent over December '13.

While volume increases in VIX futures and options are predictably more pronounced during periods of greater volatility, such as those we experienced in January, we were particularly gratified that we also saw double digit increases in VIX trading throughout 2013, which was marked by prolonged periods of low volatility.

Each wave of new users brings more liquidity and activity to our VIX marketplace. We believe we are still in the early stages of growing VIX domestically and that we have hardly begun to scratch the surface internationally.
We intend to grow the volatility space in 2014 - domestically and beyond -- through three major initiatives: enhanced investor education, broadening access to our volatility marketplace and through new volatility products.

Investor education goes hand in hand with new products. This is particularly so when it comes to VIX trading, which has created an entirely new marketplace and, as some say, a whole new asset class. There is a tremendous thirst for knowledge about VIX futures and options from investors of every type. Since its inception, VIX trading has captured the imagination of trading pros and sophisticated vol players. Last year, Blackrock and others endorsed VIX futures for the broader, mainstream purpose of asset allocation, confirming a trend we had long anticipated given the inverse relationship with VIX and the broader stock market.

We have laid out an ambitious educational plan for 2014 that responds to the growing demand for VIX information and trading resources. This includes expanding our Business Development staff as needed and beefing up our VIX educational offerings. We also look forward this year to rolling out a new options and volatility educational app for mobile and tablet users and to unveiling a newly redesigned CBOE.com website, with additional options and volatility resources and enhanced mobile viewing.

While we are busy responding to a growing online and mobile world, surprising numbers of investors from around the world still wish to visit CBOE in person to see options and volatility trading firsthand and to attend the CBOE Options Institute. To meet demand for visiting groups and students, we just completed construction of a new and expanded home for the Institute overlooking the CBOE trading floor. We're excited about the opportunities this state-of-the-art space provides for us going forward. An expanded 2014 curriculum at the Options Institute -- both in our classrooms and online -- is heavily weighted toward VIX futures and options, as well as SPX trading.

In the fourth quarter of 2013 we extended the trading day for VIX futures by 5 hours and 45 minutes. The extended trading day responds to demand from U.S. customers for additional trading time, while enabling European-based customers to access VIX futures during their local trading hours. Trading for VIX futures now begins at 2:00 a.m. CT, which aligns with the 8:00 a.m. open of the London markets. We are pleased with the volume we see thus far during non U.S. trading hours. As you would expect, there are significant volume spikes in the hours preceding the open of the U.S. markets on particularly volatile days, such as we saw in late January and early February.

Eight percent of VIX futures trading now takes place outside of regular U.S. trading hours, and we expect the percentage to increase going forward. This year we plan to expand our extended trading hours initiative to nearly 24 hours, which will accommodate Asian market hours and a growing worldwide user base. We also look forward to adding VIX and SPX options to our extended trading hours initiative in 2014.

VIX product development continues at CBOE. We are thrilled that next week, on February 13th, we will launch futures on our new Short-Term VIX Index (VXST), with Short-Term VIX options to follow. Short-Term VIX futures and options leverage the most compelling features of SPX Weeklys and VIX futures and options. Our team is currently ramping up a concerted marketing and educational campaign to support and promote the launch of these major new volatility products.

Like VIX, our Short-Term Volatility Index is based on real-time prices of SPX options. While VIX is calculated using SPX monthly options, Short-Term VIX uses S&P 500 options that expire in one week. We think the more-targeted time horizon sets the stage for compelling trading opportunities, and customer feedback confirms that view.

Short-Term VIX futures and options will have weekly expirations, enabling traders to fine tune the timing of their volatility trades. We envision investors using these products to pinpoint and hedge against event-driven market moves, such as corporate earnings and Fed announcements. Short-Term VIX futures and options will have the same expiration day and a similar settlement process as VIX futures and options, enabling traders to create strategies using VXST and VIX to capture changes in the volatility term structure.

The ability to trade short-term volatility has generated considerable buzz since we announced the new products at CBOE's Risk Management Conference in Portugal last September. We look forward to making the concept a reality with the launch of Short-Term VIX futures next week.

Turning now to market share, where CBOE continues to hold the industry lead. In December 2013, CBOE and C2 accounted for 29.3 percent of all options traded, excluding dividend trades.

CBOE commanded 27.5 percent of total industry market share, adjusted for dividend trades, just under its 28.0 percent total market share at the end of September 2013. In January 2014, CBOE's market share increased another percentage point to 28.5 percent.

In multiply-listed options only, CBOE held 20.3 percent market share in December 2013, down slightly from 20.9 percent at the end of September. In both cases, CBOE led the twelve options markets by a margin of several percentage points. C2 market share in multiply-listed classes, excluding dividend trades, at the end of December was 2.0 percent, up slightly from 1.9 percent at the end of September.

We are pleased with overall performance in the equity options marketplace, but are never complacent. We closely monitor the daily changes in this very fluid arena and are prepared to quickly modify our CBOE and C2 models in response to competitive pressures.

Going forward, our entire team is excited about the opportunities before us to continue to further define and expand the options and volatility space in 2014. Our strategy is clear and focused: we will continue to sow the seeds for our company's future growth with programs aimed at developing new products, optimizing our market share in commoditized products and expanding our user base. And we will continue to capitalize on the favorable operating leverage inherent in our business through disciplined expense management and prudent allocation of capital. On that note, I will turn it over to Alan Dean to report on our financials.

Alan Dean, CEO

Thanks Ed.

Good morning everyone and thank you for joining us.

As Ed mentioned earlier, 2013 was another record year for CBOE Holdings. We ended the year with a strong quarter and accomplished a number of important initiatives that position the company for continued growth.

This morning, I will take you through our fourth quarter results, as well as provide guidance on certain financial metrics for 2014.

As outlined in the press release we issued earlier this morning, operating revenue was $141.8 million in the fourth quarter, up 9 percent compared with last year's fourth quarter. Adjusted operating income was $72.6 million, representing an adjusted operating margin of 51.2 percent, which was 130 basis points higher than the fourth quarter of 2012. Adjusted net income allocated to common stockholders was $45.6 million, up 17 percent compared with the fourth quarter of 2012, which translates to adjusted diluted earnings per share of $0.52.

Before I continue, let me point out that our GAAP results reported for the fourth quarter of 2012 include certain unusual items that impact the comparison of our operating performance. These items are detailed in our non-GAAP information provided in the press release and in the appendix of our slide deck.

Turning to the details of the quarter, as shown on this chart, the growth in operating revenue was predominately driven by higher transaction fees. However, we did see increases in each revenue category, with the exception of access fees. As we have seen throughout the year, revenue from access fees was down slightly due to fee modifications implemented in the first half of 2013. For 2014, there were no significant changes made on our fee schedule for trading permits, so revenue in 2014 will primarily be driven by the demand for trading permits.

Transaction fees increased $8.2 million, or 9 percent, from last year's fourth quarter, driven by a 22 percent increase in trading volume, offset somewhat by an 11 percent decrease in the average revenue per contract (or RPC) compared with last year's fourth quarter. In the fourth quarter, we saw increases in trading volume across every product category compared against both the prior year period and the prior quarter.

Our blended RPC, including options and futures, was 31.6 cents compared with 35.5 cents in the fourth quarter of 2012. This decline was mainly due to an increase in volume-based incentives for certain multiply-listed options traded at CBOE under our volume incentive program, or VIP. In addition, the product mix shifted a bit, with lower-margin, multiply-listed options accounting for a higher percentage of trading volume during the quarter versus the fourth quarter of 2012.

As a result, the RPC in our options business declined to 27.5 cents compared with 32.2 cents in last year's fourth quarter. The revenue per contract on equity options and exchange-traded products declined by 44 percent and 33 percent, respectively, while the RPC on index options held steady. To put this decrease into context, keep in mind that our market share in multiply-listed options in December 2012 hit a low for the year of 17.3 percent and dropped further in January of 2013. In response, we modified our VIP program in February 2013 and CBOE ended 2013 with market share of 20.3 percent in multiply-listed options for the month of December, 300 basis points higher than December 2012.

On the futures side, CFE's revenue per contract was about $1.57, up 9 percent from $1.44 in the fourth quarter of 2012.

As this slide depicts, multiply-listed options accounted for 66.2 percent of total contracts traded in the fourth quarter of 2013, in comparison with 65.6 percent in last year's fourth quarter. While the contribution from our highest-margin index options and futures contracts accounted for 33.8 percent of total volume versus 34.4 percent in last year's fourth quarter.

Converting the volume into transaction fees, you see that index options and futures contracts accounted for 80.1 percent of transaction fees, up from 71.3 percent in the fourth quarter of 2012.

Regulatory fees for the quarter increased $1.1 million compared with 2012's fourth quarter but declined $1.4 million versus the prior quarter. As we have pointed out in prior earnings calls, the revenue derived from these fees is only available to cover expenses we incur to carry out our obligations as a regulator. As a result, we make adjustments as needed to keep the revenue obtained from the options regulatory fee and related expenses in balance. Accordingly, effective September 1, we modified our options regulatory fees for CBOE and C2. In our last earnings call we stated that we expected regulatory fees to decline by about $1.6 million in the fourth quarter compared with the third quarter, assuming similar trading volume quarter to quarter. Industry-wide options volume was a little better in the fourth quarter versus the third quarter, resulting in a slightly lower than expected decline.

Continuing down the income statement, this next slide details total adjusted operating expense of $69.2 million for the quarter, which was up $4.0 million or 6 percent, compared with last year's fourth quarter.

Turning to core operating expense, this slide details fourth quarter core expense of $43.9 million. This represents a decrease of $2.4 million or 5 percent, compared with the fourth quarter of 2012, primarily due to lower expenses for outside services, offset somewhat by increases in employee costs and travel and promotional expenses.

The decrease in outside services was mainly due to lower legal expenses, reflecting lower litigation expenses and the benefit of an insurance reimbursement. The increase in employee costs reflects higher salaries resulting from headcount additions, mainly in regulatory services and systems, as well as increases in stock-based compensation and the provision for employee bonuses. The increase in travel and promotional expense was driven by higher advertising costs, which was mostly due to timing of expenses. For the full year, advertising expenditures were relatively flat year-over-year.

Looking at core expense for the full year, we came in at about $186 million, slightly below the low end of our guidance of $189 million, with the difference primarily a result of lower than anticipated legal expenses. Going into the second half of the year I was concerned that I might have to increase guidance given the trajectory of legal expenses, but we caught a break in the third and fourth quarters when legal costs declined, which resulted in a favorable variance.

Volume-based expenses, which include royalty fees and trading volume incentives, were $16.3 million for the quarter, an increase of $3.6 million, or 28 percent, versus last year's fourth quarter, primarily reflecting a $3.4 million increase in royalty fees. This increase is directly related to the growth in trading volume in licensed products, as well as certain royalty fee adjustments.

Our GAAP effective tax rate for the quarter was 36.1 percent versus 33.1 percent in last year's fourth quarter. This variance was due to the recognition of significant discrete items related to prior years in 2012 versus no such prior year adjustments recognized in 2013. The lower tax rate of 36.1 percent for the fourth quarter of 2013 versus 2012's adjusted tax rate of 39.0 percent, reflects higher tax benefits recognized for the domestic production activities deduction (also called the Section 199 deduction) resulting from an increase in our qualified production activities income.

This slide gives you the details of the tax adjustments to GAAP results.

Now a few highlights relating to our balance sheet and capital allocation. In 2013, we generated more than $224 million in cash from operating activities, which enabled us to return more than $58 million to stockholders through dividends and more than $51 million through share repurchases.

Our capital position remains strong. We ended 2013 with cash and cash equivalents of $221.3 million and a strong balance sheet. We have and will continue to take a disciplined approach to managing cash, looking first to fund the growth of our business, then to return capital to our stockholders through sustainable quarterly dividends and share repurchases.

Based on our strong cash position, in December, our Board declared a special dividend of 50 cents per share, or $43.8 million, that was paid out in January. At the same time, the Board authorized the company to repurchase an additional $100 million of its outstanding common stock. At December 31, we had $158.0 million remaining on our share repurchase authorizations. We consider both of these actions important in providing additional value to our stockholders.

A few days ago, we announced that we declared a dividend of $0.18 per share for the first quarter of 2014.

Let's now move to our 2014 guidance for certain financial metrics.

For 2014, we expect core expenses to be in a range of $191.0 million to $196.0 million, which represents an increase of 3 to 5 percent versus 2013. The increase primarily reflects higher expenses for regulatory services, as we build on the effort we started in 2013, with a focus on maintaining the highest standards for regulation and compliance. The increased resources devoted to regulatory services primarily include the full-year impact of 2013's staff additions, additional hiring in 2014 and further enhancements to our regulatory systems.

At the beginning of this year, we increased the options regulatory fee, which is designed to cover these costs. We expect the additional revenue generated from regulatory fees to offset the incremental costs, with no impact to our bottom line.

Turning to stock-based compensation, in the first quarter of this year we will grant additional shares of restricted stock, as we did in 2013. As a result, we expect to record about $3 million of accelerated stock-based compensation expense in the first quarter. Accelerated stock-based compensation is not included in core expenses and will be reconciled as a non-GAAP item. Continuing stock-based compensation, which is included in core expenses, is expected to be $13 million for the year. The decrease versus 2013 is due to the final vesting in June of stock awards granted in 2010 following our IPO.

Since stock-based compensation will fluctuate a bit quarter to quarter due to the timing of the vesting of certain stock grants, the appendix includes a slide that provides guidance by quarter.

In 2014, capital spending is expected to be between $47.0 to $50.0 million, up versus the nearly $32 million we spent in 2013. This increase primarily reflects additional capital spending to harden our systems and the continuation of our efforts started in 2013 to enhance our systems and software for regulatory services.

In closing, we are very pleased with our results for 2013 and we head into 2014 well positioned for continued growth. We have the financial strength and breadth to execute on our near term initiatives and to deliver solid results while also continuing to invest for long-term growth.

I look forward to updating you on our progress throughout the year. Thank you for your interest in CBOE. I will now turn it back to Debbie so we can take your questions.

At this point, we would be happy to take questions. We ask that you please limit your questions to one per person to allow time to get to everyone. Feel free to get back in the queue and if time permits we'll take a second question.

This presentation may contain forward-looking statements, within the meaning of the Private Securities Litigation Reform Act of 1995. Forward-looking statements are those statements that reflect our expectations, assumptions or projections about the future and involve a number of risks and uncertainties. These statements are only predictions based on our current expectations and projections about future events. There are important factors that could cause actual results to differ materially from that expressed or implied by the forward-looking statements, including: the loss of our right to exclusively list certain index option products; increasing price competition in our industry; compliance with legal and regulatory obligations and obligations under agreements with regulatory agencies; our ability to operate our business, monitor and maintain our systems or program them so that they operate correctly, including in response to increases in trading volume and order transaction traffic; decreases in the amount of trading volumes or a shift in the mix of products traded on our exchanges; legislative or regulatory changes; increasing competition by foreign and domestic entities; economic, political and market conditions; our ability to operate our business without violating the intellectual property rights of others and the costs associated with protecting our intellectual property rights; our ability to maintain access fee revenues; our ability to protect our systems and communication networks from security risks, including cyber-attacks; our ability to attract and retain skilled management and other personnel; our ability to maintain our growth effectively; our dependence on third party service providers; and the ability of our compliance and risk management methods to effectively monitor and manage our risks.

More detailed information about factors that may affect our performance may be found in our filings with the SEC, including in our Annual Report on Form 10-K for the year ended December 31, 2012 and other filings made from time to time with the SEC.